18
Refusing documents

Learning objectives

This chapter describes the process to be followed when a bank decides to refuse documents.

By the end of this chapter, you should be able to:

- describe the required data for a refusal notice; and
- understand the requirements of UCP 600, article 16, whether acting as an issuing bank, confirming bank or nominated bank.

18.1 Handling discrepant documents

Once examination has been completed and after taking account of any regulatory or legislative requirements, a document examiner will decide whether or not the documents comply. If the documents comply, the document examiner will take up the documents and arrange settlement. If the documents do not comply, the document examiner will refuse them.

This chapter looks at how documents that are discrepant should be handled.

18.1.1 An ICC overview: examining documents, waiving discrepancies and issuing notice under UCP 600

Following presentation, the examination process and the refusal of documents are primarily governed by the provisions of UCP 600, sub-articles 14(a) and (b), and UCP 600, article 16.

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UCP 600, sub-articles 14(a) and (b), provide as follows.

a. A nominated bank acting on its nomination, a confirming bank, if any, and the issuing bank must examine a presentation to determine, on the basis of the documents alone, whether or not the documents appear on their face to constitute a complying presentation.

b. A nominated bank acting on its nomination, a confirming bank, if any, and the issuing bank shall each have a maximum of five banking days following the day of presentation to determine if a presentation is complying. This period is not curtailed or otherwise affected by the occurrence on or after the date of presentation of any expiry date or last day for presentation.

UCP 600, article 16, provides as follows.

a. When a nominated bank acting on its nomination, a confirming bank, if any, or the issuing bank determines that a presentation does not comply, it may refuse to honour or negotiate.

b. When an issuing bank determines that a presentation does not comply, it may in its sole judgement approach the applicant for a waiver of the discrepancies. This does not, however, extend the period mentioned in sub-article 14 (b).

c. When a nominated bank acting on its nomination, a confirming bank, if any, or the issuing bank decides to refuse to honour or negotiate, it must give a single notice to that effect to the presenter.

The notice must state:

i. that the bank is refusing to honour or negotiate; and

ii. each discrepancy in respect of which the bank refuses to honour or negotiate; and

iii.

a) that the bank is holding the documents pending further instructions from the presenter; or

b) that the issuing bank is holding the documents until it receives a waiver from the applicant and agrees to accept it, or receives further instructions from the presenter prior to agreeing to accept a waiver; or

c) that the bank is returning the documents; or

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d) that the bank is acting in accordance with instructions previously received from the presenter.

d. The notice required in sub-article 16 (c) must be given by telecommunication or, if that is not possible, by other expeditious means no later than the close of the fifth banking day following the day of presentation.

e. A nominated bank acting on its nomination, a confirming bank, if any, or the issuing bank may, after providing notice required by sub-article 16 (c) (iii) (a) or (b), return the documents to the presenter at any time.

f. If an issuing bank or a confirming bank fails to act in accordance with the provisions of this article, it shall be precluded from claiming that the documents do not constitute a complying presentation.

g. When an issuing bank refuses to honour or a confirming bank refuses to honour or negotiate and has given notice to that effect in accordance with this article, it shall then be entitled to claim a refund, with interest, of any reimbursement made.

To assist in understanding and interpreting these articles, and to remind issuing and confirming banks that deviation from these procedures may result in either bank facing preclusion from claiming that the documents are discrepant, the ICC Banking Commission issued an educational paper entitled *Examination of Documents, Waiver of Discrepancies and Notice under UCP* in April 2002. While originally written for application under UCP 500, articles 13 and 14, the paper is the basis of what follows, with suitable amendments to facilitate usage under UCP 600.

Introduction

UCP 600, sub-articles 14(a) and (b), and article 16, specifically prescribe the actions of an issuing, confirming or nominated bank in the examination of documents presented under a documentary credit. These sub-articles and article specifically dictate the process of examination of documents, the decision as to whether to take up or refuse the documents, the process of seeking waiver of discrepancies by the issuing bank, providing notice of discrepancies and the maximum time for the performance of the steps prescribed. Several variations on the performance of the prescribed procedures in UCP have evolved over the years, many of which are not in accordance with the UCP. The development of these practices is invariably outside the scope of the UCP and could place an issuing bank or confirming bank at risk for not complying with the terms of the UCP.

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To understand the specific steps outlined in the UCP, it is necessary to follow the process of examination of documents specifically as it is prescribed by UCP 600, and to examine each step and the individual requirements. This process is referenced within the descriptions detailed below.

Note: The following text only addresses the obligations of the issuing bank because it is the only bank authorised to seek a waiver from the applicant. Similar obligations may apply to the confirming bank, with the exception of the seeking of a waiver from the applicant.

Step 1: Examining documents

The first step in the process when documents are presented is to examine them.

UCP 600 sub-article 14(b) states that the bank has a maximum of five banking days following the day of presentation in which to examine and determine whether a presentation is complying.

The maximum of five banking days should not be seen as automatically giving a five banking day period for every transaction. Specific circumstances within an issuing bank, or the number or type of required documents presented, may require that it takes the entire period to examine the documents, make a decision whether to take up or refuse the documents, and inform the presenter accordingly. However, this period is not automatically expected for each presentation of documents. In most cases, the examination will be completed in fewer than five banking days following the day of presentation.

Step 2: Deciding whether documents comply or do not comply

Once documents have been examined, the issuing bank has to determine whether or not they appear on their face to be in compliance with the terms and conditions of the documentary credit.

- **Documents comply** – if the issuing bank determines that the documents comply with the terms and conditions of the documentary credit, it must take up the documents and effect settlement (UCP 600, sub-article 15(a)).

- **Documents do not comply** – if the issuing bank determines that the documents do not comply with the terms and conditions of the documentary credit, it is not required to take up the documents and effect settlement.

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Step 3: Decide to refuse or seek a waiver

If the issuing bank determines that the documents do not comply, it has two options:

i. it may refuse the documents and provide notice of refusal; or

ii. it may seek the applicant's waiver of the discrepancies.

- **Give notice of refusal** – if the issuing bank decides to refuse the documents, it must provide a notice in accordance with UCP 600, sub-article 16(c). This must be a single notice.

  UCP 600, sub-article 16(c), requires that the notice of refusal give notice to that effect and must state all discrepancies in respect of which the issuing bank is refusing the documents. In addition, **UCP 600, sub-article 16(c)(iii)**, specifically provides that the notice must state the following:

> iii.
>
> a) that the bank is holding the documents pending further instructions from the presenter; or
>
> b) that the issuing bank is holding the documents until it receives a waiver from the applicant and agrees to accept it, or receives further instructions from the presenter prior to agreeing to accept a waiver; or
>
> c) that the bank is returning the documents; or
>
> d) that the bank is acting in accordance with instructions previously received from the presenter.

UCP 600, sub-article 16(d), prescribes the process if the bank decides to refuse the documents.

> **d.** The notice required in sub-article 16 (c) must be given by telecommunication or, if that is not possible, by other expeditious means no later than the close of the fifth banking day following the day of presentation.

- **Seek applicant waiver** – UCP 600, sub-article 16(b), gives the issuing bank the option, in its sole judgement, to approach the applicant for a waiver of the discrepancies. There is no requirement on the part of the issuing bank to seek a waiver and any decision to do so is completely

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within its discretion. If the issuing bank decides to seek a waiver, it must still comply with the five banking days requirement under UCP 600, sub-article 14(b).

The issuing bank is not bound by an applicant's decision to waive the discrepancies.

When issuing banks have deferred giving notice of refusal, they usually impose conditions on the applicant. These prescribe the amount of time that the applicant has to make the decision to waive the discrepancies and provide this information to the issuing bank. In order to avoid a refusal of documents by the issuing bank, any applicant waiver should be provided to the issuing bank within the time frame established by the issuing bank.

Step 4: (Depending on receipt of waiver) take up or refuse and give notice

Determine if the issuing bank will waive the discrepancies – if the applicant has not provided its waiver of discrepancies within the time period prescribed by the issuing bank, the issuing bank must make a decision as to whether it will take up or refuse the documents. The fact that the issuing bank could waive the discrepancies despite not having received a waiver from the applicant is often overlooked. Having placed the applicant on notice of discrepancies and then waiving them, an issuing bank should consider the possible implications with regard to its reimbursement agreement with the applicant.

- **If the issuing bank waives the discrepancies – take up the documents:** if the issuing bank decides on its own to waive the discrepancies, it must take up the documents. The decision to take up non-complying documents does not amend the documentary credit. It also does not bind the issuing bank to honour subsequent drawings with the same discrepancies under that or any other documentary credit.

- **If the issuing bank refuses the documents – refuse and give notice:** if the issuing bank decides to refuse the documents, it must send a notice of refusal in accordance with UCP 600, sub-articles 16(c) and (d).

Step 5: (If waiver received) determine whether or not to accept applicant waiver

Determine if the issuing bank will waive the discrepancies – if the applicant conveys its waiver of discrepancies, the issuing bank must then make its decision as to whether it will agree to accept it. Even if an applicant waives the discrepancies, the issuing bank is not required to accept such

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waiver. This applies even if the issuing bank requested such waiver. In some cases, local law may have a bearing if an issuing bank declines to act after requesting, and receiving, a waiver from the applicant.

- **If the issuing bank agrees to accept the applicant's waiver of the discrepancies – take up the documents:** if the issuing bank determines that it will accept the waiver, it must take up the documents despite the discrepancies that it may have found.

- **If the issuing bank does not accept the applicant's waiver – refuse and give notice:** if the issuing bank receives the applicant's waiver and decides to refuse the documents despite the waiver, it must send its notice of refusal in accordance with UCP 600, sub-articles 16(c) and (d).

Performance under the rules When the issuing bank performs according to the UCP, there is no risk provided that it conforms specifically to the steps outlined for examination, waiver and notice.

Conclusion

UCP 600 prescribes the process for examination, seeking a waiver and providing notice of refusal. Issuing banks should follow these rules or understand the risks that they may be taking when they deviate from them.

18.2 Processing discrepant documents in the role of the issuing bank

18.2.1 Receiving prior requests from nominated banks for authority to honour or negotiate

If a nominated bank finds discrepancies in presented documents, it is common for it to ask the issuing bank for authority to honour or negotiate, despite such discrepancies. These requests are often received in the form of a teletransmission (SWIFT message or telex) and show wording along the following lines.

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May we negotiate documents for USD 124563 under your Credit DC no. 78910 despite the following discrepancies:

i. Late shipment BL dated 25/7/xx

ii. Credit expired

iii. Inspection certificate issued by ABC Ltd, Singapore instead of ABCD Co. Ltd, Hong Kong

Because the applicant's mandate to the issuing bank is to debit its account only with respect to conforming documents, the issuing bank may refer such requests to the applicant for approval (although there is no obligation to do so). If the applicant gives approval in the form of a waiver and the issuing bank agrees to accept the waiver, the issuing bank may reply to the request in the following terms:

You may negotiate USD 124563 against our Credit DC no. 78910 despite the discrepancies stated in your message of … [date] if otherwise in order.

The words 'if otherwise in order' inform the nominated bank that approval is conditional upon there being no other discrepancies found upon receipt of documents by the issuing bank.

Note: UCP 600, article 16, does not impose a requirement that messages relating to a discrepant presentation, sent from or to an issuing bank, confirming bank or nominated bank, are authenticated.

18.2.2 Approaching the applicant

If the document examiner has found discrepancies (including those noted by the nominated bank), UCP 600, sub-article 16(b), indicates that the issuing bank may, in its sole judgment, approach the applicant for a waiver of the discrepancies.

The purpose of approaching the applicant is confined to consultation. It is not intended to allow the applicant any part in the decision to refuse documents, or to allow the applicant to examine documents in order to find further discrepancies. The determination of whether or not documents comply with the terms and conditions of the documentary credit is for the issuing bank alone.

If the issuing bank seeks a waiver from the applicant, it should respond promptly.

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18.2.3 Giving notice of refusal

If an applicant (when approached) has indicated an inability to approve any noted discrepancy or the issuing bank decides to refuse documents without consulting the applicant for a waiver, the issuing bank must give notice to the bank from which the documents were received (or to the beneficiary, if documents were received directly) of its decision to refuse the documents.

The requirements and the format of the notice are stated in **UCP 600, sub-articles 16(c) and (d)**.

c. When a nominated bank acting on its nomination, a confirming bank, if any, or the issuing bank decides to refuse to honour or negotiate, it must give a single notice to that effect to the presenter.

The notice must state

i. that the bank is refusing to honour or negotiate; and

ii. each discrepancy in respect of which the bank refuses to honour or negotiate; and

iii.

a) that the bank is holding the documents pending further instructions from the presenter; or

b) that the issuing bank is holding the documents until it receives a waiver from the applicant and agrees to accept it, or receives further instructions from the presenter prior to agreeing to accept a waiver; or

c) that the bank is returning the documents; or

d) that the bank is acting in accordance with instructions previously received from the presenter.

d. The notice required in sub-article 16 (c) must be given by telecommunication or, if that is not possible, by other expeditious means, but no later than the close of the fifth banking day following the day of presentation.

The notice is invalid if these requirements are not satisfied. If presentation has been received from a bank, the refusal notification is usually transmitted by SWIFT MT734 message.

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Because the SWIFT MT734 message is titled 'Advice of Refusal', there is no need for the content of the message to indicate 'We refuse' or words of similar intent.

When using the SWIFT MT734 message, a bank may indicate the status of the documents by the use of a code word rather than by repeating the full text specified in UCP 600, sub-article 16(c)(iii) (a–d). The code words are: for a), 'HOLD'; for b), 'NOTIFY'; for c), 'RETURN'; and for d), 'PREVINST'.

If a bank has issued a refusal notice indicating options (a) or (b) as the status of the documents, it may subsequently return the documents to the presenter at any time.

It should be noted that UCP 600, sub-articles 16(c)(iii) (a–d), make no reference to holding documents at the 'risk and disposal' of the presenter. UCP 500, sub-article 14(c)(ii), indicated as follows.

> Such notice must state all discrepancies in respect of which the bank refuses the documents and must also state whether it is holding the documents at the disposal of, or is returning them to, the presenter.

By the words 'holding the documents at the disposal of', a bank was not in a position to return the documents to the presenter arbitrarily, even if some time had passed without any communication being received from the presenter or the applicant.

Because UCP 600, sub-article 16(e), allows for a bank to return the documents to the presenter if a notice has been issued as required by UCP 600, sub-articles 16(c)(iii)(a) or (b), the equivalent rule in UCP 600, article 16, can no longer make reference to holding documents at the disposal of the presenter.

Despite this change, a number of banks still (incorrectly) include 'documents held at your risk and disposal' in their refusal notices.

18.2.4 Actions following a notice of refusal

After the issuing bank has given notice of refusal of documents, it is not uncommon for the presenter to dispute the discrepancies with the issuing bank. A document examiner who has made the determination to refuse must be in a position to respond to the presenter.

There will usually be a relatively short interval between refusal and eventual payment. Nevertheless, a document examiner must be able to justify his or her action to a presenter or applicant. To do so, a document examiner must not only have a thorough knowledge of UCP 600 and documentary credit procedure, but also of commercial practice.

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In all cases, a document examiner should keep a record with whom discussions were held and of the content of such discussion. It is prudent banking practice for a document examiner to retain documents securely, and to keep the applicant and presenter advised by formal telecommunication or letter. Upon receipt of an acceptable waiver from the applicant, the documents should be delivered to them against immediate payment or reimbursement to the presenter or, in the case of usance drawings, an undertaking to the presenter to honour or reimburse on the due date. It is important to be fully aware of these procedures.

If the applicant receives documentation that it considers to be discrepant after the issuing bank has accepted the presentation as being compliant, it should immediately contact the issuing bank.

18.2.5 Handling pending dishonoured documents

If, within a short period following the issuance of a refusal notice, an applicant does not provide the issuing bank with an acceptable waiver, a document examiner may be required to hand over the documents to another area of the department that has responsibility for further handling of such pending items. The fundamental principles here are as follows.

- Notice of refusal must have been given, and the documents must be held pending further instructions of the presenter or receipt of a waiver from the applicant.
- Developments should be recorded on the bank's document examination record and history files, where appropriate.
- The presenter must be kept advised at regular intervals.
- The documents must be securely stored.

In the absence of further instructions from the presenter or receipt of an acceptable waiver from the applicant, at some stage, a decision may be taken to return the documents to the presenter, to the issuing bank's complete discharge. This is covered by UCP 600, sub-article 16(e), and was explained in section 18.2.3.

The period for which documents may be held without receipt of further instructions or an acceptable waiver will usually form part of a bank's standard procedures.

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18.3 Preclusion and the right to claim a refund and interest

18.3.1 The preclusion rule

UCP 600, sub-article 16(f), provides as follows.

> **f.** If an issuing bank or a confirming bank fails to act in accordance with the provisions of this article, it shall be precluded from claiming that the documents do not constitute a complying presentation.

Note: If a nominated bank fails to act according to the requirements of the article, it is not precluded under this rule. Preclusion applies only to the banks that have given an undertaking to the beneficiary to honour or negotiate – that is the issuing bank and a confirming bank, if any.

18.3.2 The right to claim a refund and interest

If an issuing bank identifies discrepancies in the documents received from a nominated bank, and that nominated bank has already been reimbursed in accordance with the terms and conditions of the documentary credit, in addition to issuing its notice of refusal the issuing bank may also request a refund of the amount that has been paid to the nominated bank, together with interest covering the period commencing the day on which the issuing bank's account was debited to the date on which the funds are returned.

In most cases, a refund is not requested. However, if the applicant decides not to provide a waiver of the discrepancies or the issuing bank decides not to approach the applicant for a waiver or refuses to accept a waiver, a request for refund and interest is to be expected.

18.4 Common mistakes when refusing documents

18.4.1 Indicating refusal

UCP 600, sub-article 16(c)(i), requires the notice to state that the bank is refusing to honour or negotiate.

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As previously mentioned, when a SWIFT MT734 message is sent, it is not a requirement that there be an indication of the bank refusing the documents. The MT734 message is designated as being an 'Advice of Refusal'.

When banks provide a refusal notice by other means, such as by MT799 (free format) message, telex, email or telephone, it is often the case that there is no indication given to the presenter that the bank is refusing the documents. Such advices may state 'We have noted the following discrepancies' or 'We have observed the following discrepancies', neither of which sets of words provide an indication of refusal. If such a message were to be sent or given by an issuing bank or confirming bank, it would face preclusion under UCP 600, sub-article 16(f), and the bank would be required to honour or negotiate what will still be discrepant documents. Such banks would then be at the mercy of the applicant or issuing bank, respectively, as to whether they will be reimbursed.

18.4.2 Indicating each discrepancy

UCP 600, sub-article 16(c)(ii), requires that the notice of refusal state each discrepancy in respect of which the bank refuses to honour or negotiate.

The discrepancies must be clear and unambiguous. For example, a discrepancy of 'Invoice not as per LC' would not be considered a valid discrepancy and should be disregarded in any refusal notice. The discrepancy that should be quoted is in what respect(s) the invoice does not conform to the requirements of the documentary credit or UCP 600, for example whether the goods description is incorrect, the name of the beneficiary or applicant is different, etc.

18.4.3 The status of the documents

UCP 600, sub-article 16(c)(iii), requires that the notice of refusal indicate one of four statuses for the documents. It should be noted that, after each of the first three statuses, the word 'or' appears. This denotes that only one of the statuses should be apparent in a refusal notice.

However, it is often seen that a refusal notice will contain both options (a) and (b), as the following example demonstrates.

> Documents are held pending your further instructions. [Option (a)] In the meantime, we are contacting the applicant for a waiver, and if we receive a waiver that is acceptable to us, we will honour and release the documents to the applicant without any further reference to you. [Option (b)]

The issue with this clause is that, in the first sentence, the bank is indicating that the documents are being held pending the instructions of

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the presenter, while the second sentence indicates that if an acceptable waiver is received, the bank will release the documents to the applicant without further reference to the presenter.

There is therefore a conflict regarding the holding of the documents. Whilst such a combination of words will not create preclusion under UCP 600, sub-article 16(f), the use of such words would require the issuing bank to seek the agreement of the presenter to any waiver received from the applicant prior to releasing the documents. In effect, the wrong choice of words creates an additional administrative burden that was not necessary.

Questions

1. 'An issuing bank refuses documents and decides to approach the applicant for a waiver. The request is sent on a Tuesday afternoon. On Wednesday morning, the applicant replies, giving its waiver. The issuing bank is bound to accept the waiver of the applicant.' Is this statement true or false?

   A. True

   B. False

2. A nominated bank receives documents on Monday 15 July. There is a heavy workload at the time because of the holiday period and the examination process is concluded late on Monday 22 July. Discrepancies have been found and a refusal notice is sent in the morning of 23 July. The beneficiary states that the nominated bank is precluded under UCP 600, sub-article 16(f), from claiming that the documents are discrepant, and that it must honour or negotiate. The nominated bank disagrees. With which do you agree?

   A. The nominated bank

   B. The beneficiary

3. 'When an issuing bank finds discrepancies in documents, it must always contact the applicant for a waiver.' Is this statement true or false?

   A. True

   B. False

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4. A confirming bank issued a notice of refusal to the beneficiary on 15 July. The status indicated that the bank is 'holding documents pending your further instructions'. By 30 July, the confirming bank has not received any response from the beneficiary despite sending two further reminders. Which of the following is true of this situation?

   A. The confirming bank must retain the documents until such time as the beneficiary provides instructions.

   B. The confirming bank may return the documents to the beneficiary, in the absence of any instructions.

   C. The confirming bank may forward the documents to the issuing bank for settlement without contacting the beneficiary further.

5. 'A nominated bank receives documents from the beneficiary and identifies two discrepancies. These discrepancies are advised to the issuing bank, with a request that the bank seek a waiver from the applicant so that the nominated bank may negotiate. An acceptable waiver is received and the issuing bank informs the nominated bank accordingly. The nominated bank negotiates the documents. When the issuing bank receives the documents, it identifies a further discrepancy in addition to the two discrepancies identified by the nominated bank. Since the issuing bank has obtained the waiver of the applicant, it must honour and reimburse the nominated bank.' Is this statement true or false?

   A. True

   B. False

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